

Banking Regulation and Policy Department
Bangladesh Bank
Head Office
Dhaka

BRPD Circular No- 07

March 31, 2014
Date: -----
Chaitra 16, 1420

Chief Executives
All Scheduled Banks in Bangladesh

Dear Sir,

Implementation of Basel-III in Bangladesh

As you are aware, Basel III is a new regulatory framework recommended by Basel Committee. Following the framework, Bangladesh Bank has conducted Quantitative Impact Study (QIS) to assess the preparedness of banks for implementing Basel III in Bangladesh. Based on the findings of the last QIS an Action Plan/Roadmap ([Annexure-1](#)) is finalized with the approval of the competent authority. The Action Plan/Roadmap is enclosed herewith for your internal plan and gearing up the efforts for implementing Basel III.

Please acknowledge receipt.

Yours Sincerely,

[Encl:-As stated above](#)

SD/-

(Md. Nasiruzzaman)
General Manager
Phone: 9530252

Action Plan/Roadmap

Action	Deadline
Issuance of Guidelines	June 2014
Capacity Building of Banks	June-Dec 2014
Commencement of Basel III Implementation process	July 2014
Initiation of Full Implementation of Basel III	January 2019

Phase-in Arrangements

The phase-in arrangements for Basel III implementation will be as follows:

	July 2014	2015	2016	2017	2018	2019
Minimum Common Equity Tier-1 (CET-1) Capital Ratio	4.00%	4.50%	4.50%	4.50%	4.50%	4.50%
Capital Conservation Buffer	-	-	0.625%	1.25%	1.875%	2.50%
Minimum CET-1 plus Capital Conservation Buffer	4.00%	4. 5%	5.125%	5.75%	6.375%	7.00%
Minimum T-1 Capital Ratio	5.00%	5.50%	5.50%	6.00%	6.00%	6.00%
Minimum Total Capital Ratio	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%
Minimum Total Capital plus Capital Conservation Buffer	10.00%	10.00%	10.625%	11.25%	11.875%	12.50%
Phase-in of deductions from CET1	Not Applicable					
Phase-in of deductions from Tier 2 Revaluation Reserve (RR)						
RR for Fixed Assets	20%	40%	60%	80%	100%	100%
RR for Securities	20%	40%	60%	80%	100%	100%
RR for Equity Securities	-	50%	100%	100%	100%	100%
Leverage Ratio	3%	3%	3%	3% Readjustment	Migration to Pillar 1	
Liquidity Coverage Ratio	June 2014 to June 2015 on test basis	≥100% (From Sep.)	≥100%	≥100%	≥100%	≥100%
Net Stable Funding Ratio		> 100% (From Sep.)	>100%	>100%	>100%	>100%
Countercyclical Capital Buffer	-	-	Countercyclical capital buffer regime will be effective from Jan 2016			